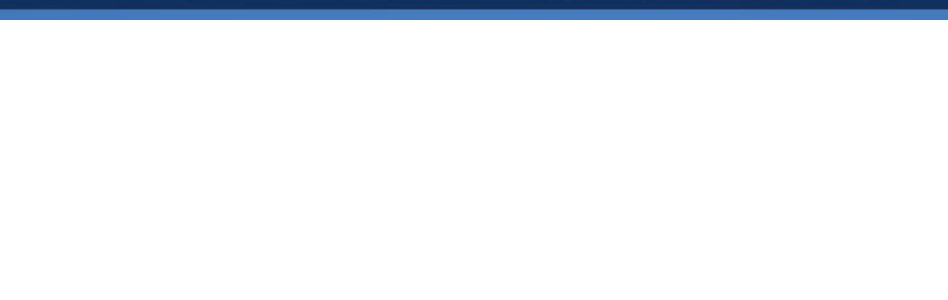


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Collateral Information

Collateral Valuation

Last Updated: 7.01.2026

When a depository institution (also known as pledging institution, or institution) pledges acceptable collateral to a Federal Reserve Bank (Reserve Bank), the Reserve Bank assigns a value to the collateral according to various factors. The collateral value is used by the Reserve Bank to determine how much the pledging institution may borrow through discount window programs, as well as determine its overdraft credit capacity for Reserve Bank account activity and associated charges.

This page includes information on the assigned value for different types of pledged collateral. The information is a summary and does not supersede or replace any Reserve Bank requirements. This page may be periodically updated, is subject to change without notice, and is not binding on the Reserve Banks in any particular transaction.

For depository institutions borrowing under the secondary credit program, the Reserve Banks generally apply an additional margin to the collateral value of any pledged collateral, other than U.S. Treasury and Agency securities.

Institutions should contact their [local Reserve Bank](#) to discuss specific questions regarding collateral valuation and margining.

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Securities Valuation and Margins Table

In general, the Reserve Banks seek to value securities collateral at a fair market value estimate. Securities are valued using prices supplied by the Reserve Banks' external vendors. Securities for which a price is unavailable from external vendors will receive zero collateral value.

Margins are applied to the Reserve Banks' fair market value estimates and are designed to account for the historical price volatility of each category of securities collateral (as identified in the Margins Table below) measured over liquidation periods determined by the Reserve Banks. Margins for securities are assigned based on asset type, credit rating, and duration (as noted in the table below).

Effective Date: July 1, 2026						
Securities	Margins for Securities ¹ (% of market value)					
	Duration Buckets					
	0-1	>1-3	>3-5	>5-10	>10	
U.S. Treasuries & Fully Guaranteed Agencies						
Bills, Notes, Bonds, Floating Rate Notes, and Inflation-Indexed	99	99	98	97	95	
STRIPS	96	96	96	96	94	
Government Sponsored Enterprises						
Bills, Notes, and Bonds	98	98	97	96	94	
Foreign Government, Foreign Government Guaranteed, and Brady Bonds						
AAA-A rated - U.S. Dollar Denominated	98	98	97	96	93	
BBB rated - U.S. Dollar Denominated	97	97	96	95	92	
AAA-BBB rated - Foreign Denominated	94	94	93	92	90	
Foreign Government Agencies						
AAA-BBB U.S. - Dollar Denominated	98	98	97	96	94	
AAA-rated Foreign Denominated	94	94	93	93	91	
Supranationals						
Bills, Notes, and Bonds - U.S. Dollar Denominated	97	97	97	96	94	
Bills, Notes, and Bonds - AAA rated - Foreign Denominated	94	94	93	92	89	
Corporate Bonds						
AAA-rated - Financials - U.S. Dollar Denominated	98	98	96	95	91	
AA rated - Financials - U.S. Dollar Denominated	97	97	95	94	90	
A rated - Financials - U.S. Dollar Denominated	95	94	90	90	87	
BBB rated - Financials - U.S. Dollar Denominated	91	87	87	87	85	
AAA-A rated - Non Financial - U.S. Dollar Denominated	98	97	96	94	92	
BBB rated - Non Financial - U.S. Dollar Denominated	97	96	94	92	90	
AAA rated - Foreign Denominated	93	92	92	90	87	
German Jumbo Pfandbriefe						
AAA rated - U.S. Dollar Denominated	98	98	97	96	94	
AAA rated - Foreign Denominated	94	94	93	91	90	
Municipal Bonds						
AAA-A rated - U.S Dollar Denominated	98	98	97	94	92	
BBB rated - U.S Dollar Denominated	97	97	96	93	90	
AAA rated - Foreign Denominated	93	93	92	91	89	
Asset-Backed Securities						
AAA-A rated - U.S. Dollar Denominated	98	98	96	91	90	
BBB rated - U.S. Dollar Denominated	97	96	95	90	88	
Collateralized Debt Obligations - AAA rated - U.S. Dollar Denominated	87	87	85	77	64	
Collateralized Loan Obligations - AAA rated - U.S. Dollar Denominated	91	91	87	73	70	
Agency Backed Mortgages						
Pass-Throughs U.S. Dollar Denominated	98	98	97	96	94	
Collateralized Mortgage Obligations U.S. Dollar Denominated	97	97	97	96	94	
Commercial Mortgage Backed U.S. Dollar Denominated	98	98	97	96	94	
Non Agency Backed Mortgages						
Residential Mortgage Backed - AAA rated - U.S. Dollar Denominated	81	81	81	81	81	
Residential Mortgage Backed - AA rated - U.S. Dollar Denominated	68	68	68	68	68	
Residential Mortgage Backed - A rated - U.S. Dollar Denominated	64	64	64	64	64	
Residential Mortgage Backed - BBB rated - U.S. Dollar Denominated	60	60	60	60	60	
Commercial Mortgage Backed - AAA rated - U.S. Dollar Denominated	98	96	91	87	83	
TPS / CD / Commercial Paper						
Trust Preferred Securities - AAA - BBB rated - U.S. Dollar Denominated	89	89	89	89	89	
Certificates of Deposit - U.S. Dollar Denominated	98	98	97	96	94	
Banks' Acceptances, Commercial Paper, and Asset Backed Commercial Paper - AAA - BBB rated or equivalent short term rating - U.S. Dollar Denominated	98	98	97			

Notes:

- 1) Zero coupon bonds pledged in a collateral category other than U.S. Treasury STRIPS will be subject to a margin reduction of 1%.

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Loan Valuation and Margins Tables

The Reserve Banks determine the collateral value of pledged loans as the product of their fair market value estimate and a margin designed to protect the Reserve Banks from financial loss. The estimated fair market value of each pledged loan is calculated monthly based on information provided by the pledging institution, including cash flow and credit characteristics, as well as market data analyzed by the Reserve Banks. Margins take into account both cash flow and credit characteristics of pledged loans, as well as historical price volatility of each category of loan collateral (as identified in the Margins Table below) measured over liquidation periods determined by the Reserve Banks.

The Reserve Banks will make general assumptions in all cases where information about a loan is not available when determining either a loan's value or its margin. If a loan's value or its margin cannot be determined due to missing information about a pledged loan, or any other reason, the loan will receive zero collateral value. Contact your [local Reserve Bank](#) for further information.

Margins also consider the risk associated within loan collateral categories. Some loan collateral categories have a margin for both a minimal and normal risk rating. A minimal risk rating is roughly equivalent to investment grade while a normal risk rating is roughly equivalent to below investment grade.

There are two sets of margins applied to loan collateral based on the characteristics of the pledging institution: in-scope and out-of-scope. An institution is considered in-scope if it meets one of the criteria listed below, while all other institutions are considered out-of-scope.

- All depository institutions (12 CFR 201.2(c)(1)) that are controlled (12 CFR 225.2(e)) by a Bank Holding Company (12 CFR 225.2(c)(1)) (including a Financial Holding Company (12 CFR 225.81)) or an Intermediate Holding Company (12 CFR 252.2(y)) with Fifty Billion Dollars (\$50,000,000,000) or more in total consolidated assets, defined as the average over the last four calendar quarters;
- All Foreign Banking Organizations (12 CFR 211.21(o)(1));
- All other domestic depository institutions with Fifty Billion Dollars (\$50,000,000,000) or more in total consolidated assets, defined as the average over the last four calendar quarters; or
- An institution that voluntarily becomes an in-scope institution. This is a permanent conversion -- an in-scope institution cannot become out-of-scope.

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Reading the Margins Table

Margins for in-scope institutions and out-of-scope institutions are displayed in the respective Loans Margins Tables below. Toggle between the tabs to switch between types of institutions.

The tables display the range of margins that have been applied historically to loans pledged in each category. Each range consists of the minimum margin, the weighted average margin, and the maximum margin observed based on historical loan pledges. When only one number is displayed, either that was the only observed margin for those characteristics, or there was insufficient historical data available. In the case of insufficient historical data, the margin displayed is the margin a typical loan with these characteristics may receive.

The displayed margins are based on the characteristics of loans that have been historically pledged as collateral and therefore represent typical collateral and expected margin for that category. However, the margin applied to any particular pledged loan will be determined based on the actual loan characteristics and could differ from what is displayed. Ranges displayed on the tables are not binding. Depository institutions should contact their [local Reserve Bank](#) with questions about their pledged collateral.

Note: The Loan Types and Call Report Mapping Table, found within the [Pledging Collateral](#) section of this website shows the collateral category that corresponds to report codes on the FFIEC 031/041/051 Call Report, the FBO FFIEC 002 Call Report, or the NCUA Call Report, as applicable (Call Report).

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